YOUNG INVESTORS SOCIETY

Traders@SMU – Long Short Equity Sector

Audrey Haynes

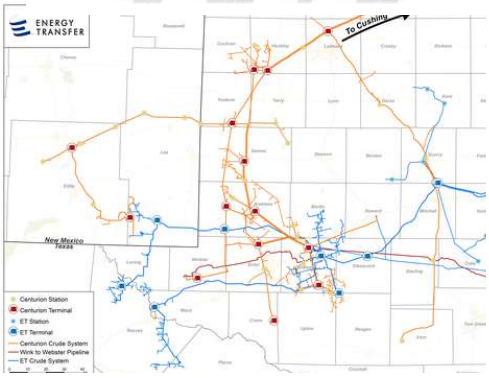
Energy Transfer LP Unit (ET)

March 25, 2026

Energy (Midstream)
Symbol: ET
Recommendation: BUY

Headquarters: Dallas, TX USA
Current Price: $19.21

COMPANY STATISTICS	
Market Cap ($ Bn):	$65.40
Enterprise Value ($ Bn):	$134.22
Trailing P/E:	15.71
Forward P/E:	11.48
Enterprise Value/Revenue:	1.57
Enterprise Value/EBITDA:	8.82



Source: Disney CSR Report

Company Overview

Energy Transfer is a Dallas-based midstream energy company whose infrastructure includes pipelines, storage facilities, processing plants, and export terminals that transport and handle crude oil, natural gas, natural gas liquids, and refined petroleum products. The company's pipeline system spans more than 100,000 miles across the United States, connecting nearly every major producing basin with key demand centers and export hubs. This vast network includes infrastructure in regions such as the Permian Basin, Bakken, Marcellus, and Eagle Ford, making Energy Transfer one of the most geographically diversified midstream operators in the country. Energy Transfer operates large fractionation facilities that separate raw NGL streams into individual products such as ethane, propane, and butane. The company owns major crude pipelines that transport oil from production regions to refining centers and export facilities. One of its most well-known assets is the Dakota Access Pipeline, which moves crude oil from North Dakota's Bakken formation to downstream markets. Energy Transfer has grown significantly through acquisitions over the past decade. Major deals—including the acquisition of Sunoco Logistics and other midstream assets—have expanded the company's infrastructure footprint and diversified its revenue streams. Strategically, Energy Transfer continues to focus on projects that expand capacity in high-growth regions such as the Permian Basin and along the Gulf Coast export corridor. These investments aim to capture increasing hydrocarbon production volumes and strengthen the company's position as a major transporter of U.S. energy supplies.

INVESTMENT THESIS

Energy Transfer transports crude oil, natural gas, natural gas liquids, and refined products through a system that stretches across more than 100,000 miles of pipelines. This scale provides Energy Transfer with significant competitive advantages, including high barriers to entry, economies of scale, and the ability to capture transportation volumes from multiple production regions simultaneously. A key component of the investment thesis is the company's exposure to long-term natural gas demand growth. Global demand for natural gas continues to expand as countries transition away from coal while still requiring reliable energy sources. The United States has become the world's largest exporter of liquefied natural gas (LNG), and Energy Transfer's pipeline network plays a crucial role in supplying gas to export terminals along the Gulf Coast. As LNG capacity continues to expand over the next decade, pipeline volumes and associated transportation fees are expected to increase. Energy Transfer also benefits from strong growth in natural gas liquids production. If Energy Transfer continues to grow distributable cash flow while maintaining distribution coverage, the stock could deliver both strong income and potential capital appreciation. Key risks to the thesis include regulatory opposition to new pipeline projects, environmental litigation, and potential volatility in energy production levels if commodity prices decline significantly. Additionally, Energy Transfer's complex asset base and historical governance controversies have sometimes created uncertainty among investors. Despite these risks, Energy Transfer's enormous infrastructure footprint, growing natural gas demand tailwinds, and improving balance sheet suggest the company remains well positioned to benefit from long-term energy transport demand in the United States.